

Required Report: Required - Public Distribution

Date: April 06, 2022

Report Number: TH2022-0027

Report Name: Oilseeds and Products Annual

Country: Thailand

Post: Bangkok

Report Category: Oilseeds and Products

Prepared By: Ponnarong Prasertsri, Agricultural Specialist

Approved By: Kelly Stange

Report Highlights:

Marketing Year (MY) 2022/23 soybean imports are expected to increase 5 percent from a slow import growth in MY2021/22, driven by the recovery in hotel and food service sector. Palm oil production in MY2021/22 and MY2022/23 is expected to continue the upward trend. Demand for biodiesel is expected to decline further in 2022, as the government reduced the biodiesel mandatory blend rate to curb retail prices of diesel fuel.

Executive Summary

FAS/Bangkok (Post) forecasts MY2022/23 soybean imports to increase to 4.5 million metric tons. This is a 5 percent increase from MY2021/22 due to growing soybean demand in the food and beverage sector and increased soybean meal demand in feed industries, following a gradual recovery in hotel and food service sectors as foreign tourists are expected to increase from 427,869 tourists in 2021 to 20 million tourists in 2023, which is around half of the number of foreign tourists prior to the COVID-19 outbreak. Soybean meal imports are expected to gradually increase 2-3 percent annually in MY2021/22 and MY2022/23. This is a slow recovery from a 6 percent reduction in MY2020/21 as the growing poultry feed demand is partially offset by shrinking swine production caused by the African Swine Fever (ASF) outbreak at the beginning of the year. Also, feed mills prefer locally produced soybean meal due to the concerns about high import costs of imported soybean meal, caused by the shortage supplies of container shipments and high freight costs.

Post forecasts palm oil production to continue the upward trend in MY2021/22 and MY2022/23 after the production recovery in MY2020/21 from a 12 percent reduction in MY2019/20 when oil palm was adversely affected by drought. Palm oil consumption in MY2021/22 and MY2022/23 is expected to gradually increase 4 percent and 5 percent, respectively. The expected growing demand for palm oil in food and industrial uses will likely offset a reduction of palm oil used for biodiesel production. Demand for biodiesel in 2022 is expected to decline further from 2021, as the government reduced the mandated blend rate from 10 percent to 7 percent since the beginning of 2022 to curb retail prices of diesel fuel.

Section 1: Oilseed Situation and Outlook

1.1 Soybean Production

Table 1.1.1: Thailand's Soybean Production, Supply and Demand

Oilseed, Soybean	2020/2021		2021/2022		2022/2023	
Market Year Begins	Sep 2020		Sep 2021		Sep 2022	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	32	32	32	32	0	32
Area Harvested (1000 HA)	32	32	32	32	0	32
Beginning Stocks (1000 MT)	315	315	436	423	0	554
Production (1000 MT)	52	52	52	52	0	52
MY Imports (1000 MT)	4157	4157	4150	4280	0	4500
MY Imp. from U.S. (1000 MT)	1138	1137	1250	1160	0	1200
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	4524	4524	4638	4755	0	5106
MY Exports (1000 MT)	1	1	1	1	0	1
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	2800	2900	2900	3000	0	3150
Food Use Dom. Cons. (1000 MT)	282	270	285	280	0	295
Feed Waste Dom. Cons. (1000 MT)	1005	930	1010	920	0	950
Total Dom. Cons. (1000 MT)	4087	4100	4195	4200	0	4395
Ending Stocks (1000 MT)	436	423	442	554	0	710
Total Distribution (1000 MT)	4524	4524	4638	4755	0	5106
CY Imports (1000 MT)	3997	3997	4150	4115	0	4325
CY Imp. from U.S. (1000 MT)	1043	1043	1250	1065	0	1100
CY Exports (1000 MT)	2	1	1	1	0	1
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	1.625	1.625	1.625	1.625	0	1.625

(1000 HA), (1000 MT), (MT/HA)

Soybean production is marginal at 50,000 – 60,000 metric tons for a decade. Farmers have no incentive to expand soybean acreage due to unattractive returns compared to other field crops like corn and cassava. Also, cultivation of all transgenic or biotech plants, including soybeans, is still prohibited in Thailand. Moreover, the government did not provide any direct financial assistance, especially for the price guarantee program that other field crops receive, other than the domestic purchase requirement for those who want to import soybeans.

1.2 Soybean Consumption

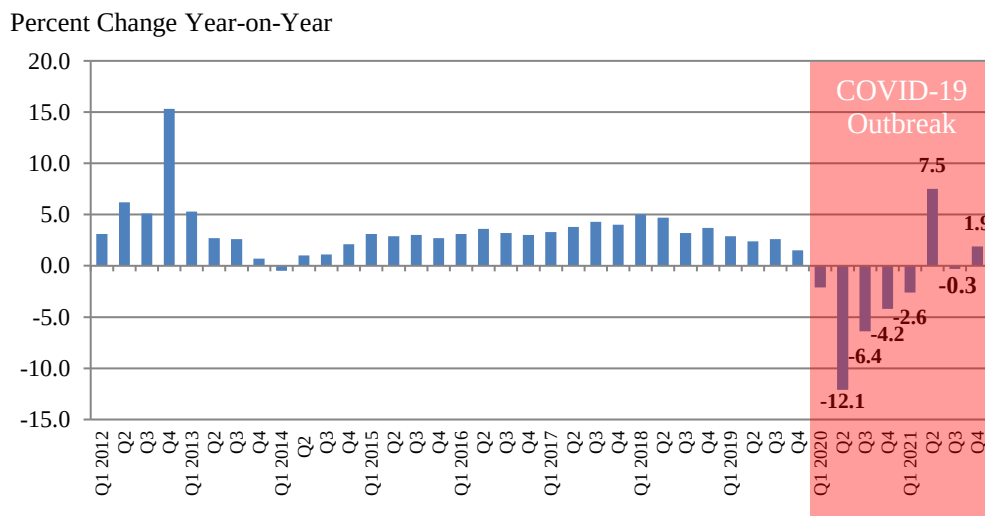
1.2.1 Crushing Demand: Around 70 percent of soybeans are crushed for cooking oil. There are four active soybean crushers in Thailand, which are (1) Thai Vegetable Oil (TVO), (2) Thanakorn Vegetable Oil Products (TVOP), (3) Porn Amnuay Sup Vegetable Oil, and (4) Industrial Enterprise Co., Ltd. Besides the sales of cooking oil products, the largest portion of crushers' revenue is the sales of byproducts from the soybean crushing process, such as soybean meal for feed. MY2022/23 soybean crushing demand is forecast to increase around 5 percent in anticipation of the recovery in domestic consumption of cooking oil and demand for soybean meal in poultry feed. The government forecast the Thai economy to grow by 5 percent in 2023, driven by expected increase in number of foreign tourists to 20 million which is around half of the number of foreign tourists prior to the COVID-19 outbreak. This will help hotel and food service sector recover from the downturn during the pandemic between 2020 and 2022.

MY2021/22 soybean crushing demand for cooking oil is expected to increase 3 percent, which is a slower growth pace than MY2020/21 due to a slow recovery in hotel and food service sector. The government reported that the economy grew only 1.6 percent in 2021 from a negative economic growth of 6.1 percent in 2020 due to the reduced foreign tourists from 6.7 million in 2020 to 427,869 tourists in 2021. The economy is expected to grow 3-4 percent in 2022, mainly driven by export sectors. However, foreign tourists are expected to increase to 5-6 million in 2022, which is far below 40 million tourists prior to the COVID-19 outbreak. The slow recovery in hotel and food service sector will affect domestic demand for cooking oil and the uses of soybean meal in feed. Also, poultry farmers, as well as swine farmers who were affected by the ASF outbreak, will be cautious in expanding their poultry and swine production due to Russia's invasion of Ukraine which caused a surge in feed grains costs, accounting for 60-70 percent of production costs of poultry and swine.

MY2020/21 soybean crushing demand growth decelerated to 16 percent from 25 percent in MY2019/20 due to the slowdown in domestic consumption of soybean cooking oil and the reduced use of soybean meal for feed as swine production was affected by ASF. Domestic consumption of soybean cooking oil, which accounted for 70-80 percent of total soybean cooking oil production, leveled off in MY2020/21, up 10 percent compared to 18 percent in MY2019/20 due to gradual recovery in palm oil production from drought in the previous years. Also, growing demand for soybean meal in poultry feed was

partially offset by reduced soybean meal demand in swine production caused by the herd losses due to ASF. The Thai Feed Mill Association reported that swine feed demand in 2021 declined around 19 percent, of which soybean meal account for approximately 30 percent of total swine feed rations. Meanwhile, poultry feed demand in 2021 increased 7 percent amid reduced broiler production as famers had to delay the new cycle of broiler production and keep feeding flocks as several chicken meat processing facilities were temporarily locked down following the third wave COVID-19 outbreak in mid-2021. In addition, the Thai economic recovery was slow in 2021 at 1.6 percent from a negative economic growth of 6.1 percent in 2020 due to prolonged COVID-19 outbreak which caused a sharp reduction in foreign tourists (Figure 1.2.1).

Figure 1.2.1: Thailand's Economic Growth



Source: Office of the National Economic and Social Development Council

1.2.2 Food Use: Soybeans used in beverage and processed food production is trending upward, especially for soymilk and soy sauces. Demand for food-quality soybeans in beverage and processed food account for approximately 8 percent of total soybean consumption. Soy milk reportedly accounts for 30-40 percent of total UHT milk market, up from around 15 percent over the past two decades, following the healthy drink trend. Industrial sources expect Thai's soymilk per capita consumption to be 12 liters, compared to 18 liters for cow's milk, which is far below the global per capita average of 113 liters of cow's milk. MY2022/23 food-quality soybean demand for beverage and processed food production is forecast to continue the upward trend, up further around 5 percent from MY2021/22. This is driven by strong exports of soy sauces and recovery in domestic soymilk consumption after a 2 percent reduction in 2021 caused by the government lockdown measures to control COVID-19 outbreak that most students had to study online at home where they had more choices of beverage than at school. According to the OIE, domestic soy sauce production and consumption in MY2020/21 increased 3-4 percent from MY2019/20. MY2020/21 food-quality soybean demand for beverage and processed food production is estimated to increase 2 percent from MY2019/20 as the increase in soy sauce production was partially offset by a 2 percent reduction in soymilk production and consumption.

1.2.3 Feed Use: Soybeans can be processed through cooking and roasting to make full fat soybeans. Full fat soybeans are usually used in feed rations when the costs of full fat soybeans are less expensive than the combined costs of soybean meal and oil ingredients. MY2022/23 full fat soybean demand is forecast to increase 3 percent, which is a slow recovery from MY2021/22 as swine production is expected to grow at a slow pace in MY2022/2023 due to the ASF outbreak. Swine producers are likely to be cautious in expanding their production.

MY2021/22 full fat soybean demand is expected to decline further 1 percent from MY2020/21, mainly due to reduced swine production caused by the ASF outbreak. The reduce demand for full fat soybeans in swine feed demand will likely offset the slight increase in full fat soybean demand in poultry feed. Full fat soybean demand in feed is expected to grow at a slower pace from MY2020/21 due to the increase in costs of feed caused by the upward price pressure of full fat soybeans and soybean meals, as well as other feed ingredients, following global economic recovery since 2021 and the disruption in feed grain supply and trade from Russia's invasion of Ukraine.

1.3 Soybean Trade and Policy

Thailand relies heavily on imported soybeans to meet domestic demand for vegetable oil, food, and animal feed as domestic soybean production is marginal. According to Thailand's commitment with World Trade Organization (WTO), soybean imports are subject to a Tariff-Rate Quota of 10,922 metric tons with a 20 percent in-quota tariff and an 80 percent out-of-quota tariff. However, the government always allows unlimited duty-free imports of soybeans every year from WTO member countries due to insufficient domestic production. The government approved unlimited imports of duty-free soybeans between 2020 and 2022 on January 4, 2020. However, the government allowed only 16 food processing companies and importers who are members of eight trade associations to import¹.

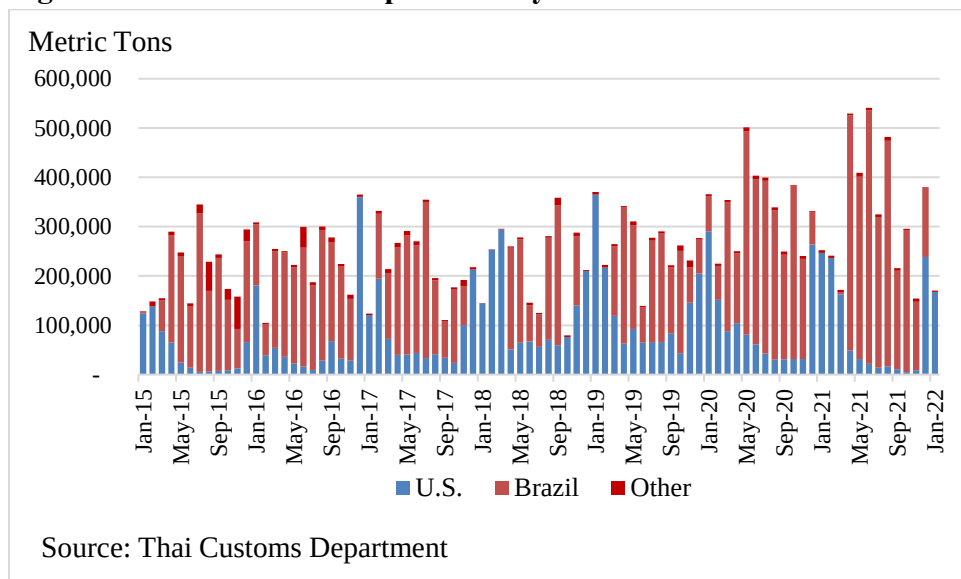
Post forecasts MY2022/23 soybean imports to increase to 4.5 million metric tons. This is a 5 percent increase from MY2020/21 due to growing demand for soybeans in the food and feed industries as the economy recovers, particularly in hotel and food service sectors. The expected increase in number of foreign tourists to 20 million, which is around half of the number of foreign tourists prior to the COVID-19 outbreak, will likely help hotel and food service sector to recover from the downturn during the pandemic between 2020 and 2022.

MY2021/22 soybean imports are expected to increase to 4.3 million metric tons, up approximately 3 percent from MY2020/21. This is a slower growth pace than a 9 percent increase in MY2020/21 in line with slower soybean crushing demand growth and reduced feed-quality soybean following slow recovery in food service sector caused by prolonged pandemic and the ASF outbreak in swine production.

¹ The eight permitted trade associations are the Soybean Oil and Rice Bran Oil Association, the Thai Feed Mill Association, the Feedstuff Users Promotion Association, the Thai Livestock Association, the Association of Agricultural Trade with Neighboring Countries, the Association of Agricultural Trade and Processing Industries, Food Processors Association, and Thai Beverage Association.

Soybean imports in the first five month of MY2021/22 totaled 1.2 million metric tons, down 17 percent from the same period the previous year. Soybean imports from Brazil, which accounted for 63 percent of total soybean imports, declined 8 percent from the same period last year. Also, imports of U.S. soybean, which accounted 36 percent of total soybean imports, declined 29 percent from the same period last year due mainly to the reduced imports of full fat soybeans.

Figure 1.3.1: Thailand's Imports of Soybeans



MY2020/21 soybean imports totaled 4.2 million metric tons, up 9 percent from MY2019/20. This is a decelerated growth from a 21 percent increase in MY2019/20 due to reduced demand for soybean meal and food-quality soybeans, along with reduced full fat soybean demand in swine feed. Soybean imports from Brazil, which accounted for 71 percent of total soybean imports, increased 22 percent from the previous year. Meanwhile, imports of U.S. soybeans, which accounted for 27 percent of total soybean imports, declined 14 percent from MY2019/20. U.S. soybean market share fluctuated depending on the availability of supply from Brazil and Argentina, along with the difference in relative prices.

Competitive prices are important for U.S. market opportunities in Thailand as Thai soybean oil processors believe that soybeans from Brazil and Argentina have relatively higher protein levels than those from the United States. The industrial sources report that importers are willing to place orders for U.S. soybeans if U.S. prices are at least U.S. \$10.00 per metric ton lower than Brazilian soybeans. However, despite the relatively cheaper prices of U.S. soybean compared to Brazilian soybeans by 8 percent, which was equal to around \$20/MT in MY2020/21, the U.S. soybean market share in MY2020/21 declined to 27 percent from 35 percent in the previous year due to the shortage supplies of container shipments from the United States to Thailand. Meanwhile, the market share of Brazilian soybeans further increased to 71 percent from 63 percent in MY2019/20. However, U.S. soybeans still dominated the food-quality soybean market in Thailand as food processors prefer certified food-quality soybeans from sustainable planting systems. Nevertheless, the U.S. market share of food-quality

soybeans declined to around half of total food-quality soybean imports due to competition from Canadian soybeans.

Section 2: Oil Meals

2.1 Soybean Meal

2.1.1 Production

Table 2.1.1.1: Thailand's Soybean Meal Production, Supply and Demand

Meal, Soybean	2020/2021		2021/2022		2022/2023	
Market Year Begins	Sep 2020		Sep 2021		Sep 2022	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2800	2900	2900	3000	0	3150
Extr. Rate, 999.9999 (PERCENT)	0.7786	0.7793	0.7793	0.7783	0	0.7778
Beginning Stocks (1000 MT)	98	98	40	170	0	215
Production (1000 MT)	2180	2260	2260	2335	0	2450
MY Imports (1000 MT)	2687	2687	2700	2750	0	2830
MY Imp. from U.S. (1000 MT)	0	0	75	80	0	82
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	4965	5045	5000	5255	0	5495
MY Exports (1000 MT)	75	75	100	90	0	93
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	4850	4800	4860	4950	0	5150
Total Dom. Cons. (1000 MT)	4850	4800	4860	4950	0	5150
Ending Stocks (1000 MT)	40	170	40	215	0	252
Total Distribution (1000 MT)	4965	5045	5000	5255	0	5495
(1000 MT), (PERCENT)						

Soybean meal production is the byproduct from cooking oil extraction using mostly imported soybeans due to limited supplies of domestic soybean production. Locally produced soybean meal is reportedly more premium than imported soybean meal due to greater freshness with higher quality standards. Feed mills normally pay 1-2 percent higher for local soybean meal. However, prices of locally produced soybean meal in 2021 were 3 percent higher than imported soybean meal due to the disadvantage of imported soybean meal from high freight costs. Available supplies of soybean meal are forecast to increase around 5 percent in MY2022/23 due to increased cooking oil production and growing demand for soybean meal in poultry feed in anticipation of an economic recovery in 2023.

MY2021/22 soybean meal production is expected to increase 3 percent from MY2020/21. This is a consecutive two-year slowing of production. Oil crushers are likely to be cautious with increasing their crushing capacity due to a slow recovery in hotel and food service sector caused by the prolonged outbreak of COVID-19. This affected domestic demand for cooking oil and the uses of soybean meal in poultry feed amid the government's expected economic growth of 3-4 percent in 2022. Also, the ASF outbreak caused a further reduction in demand for soybean meal in swine production in MY2021/22.

MY2020/21 soybean meal production growth decelerated to 16 percent from 25 percent in MY2019/20 due to a slowdown in cooking oil production and reduced swine feed demand caused by the ASF outbreak. However, this production growth is expected to be greater than consumption growth in anticipation of strong demand from feed mills to use more locally produced soybean meal than the imported soybean meal due to the short supply of container shipments and high freight costs.

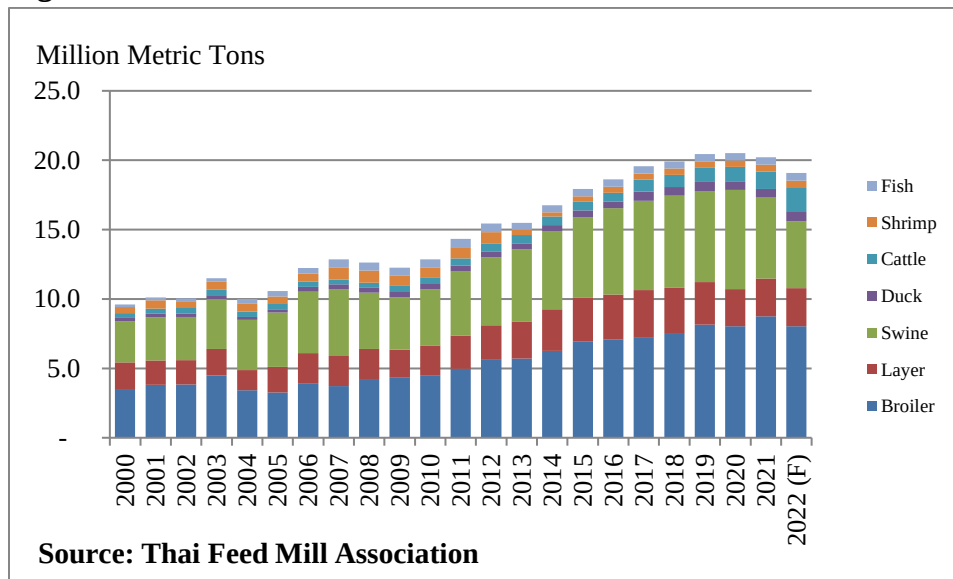
2.1.2 Consumption

Soybean meal is mainly used for livestock feed with a small portion being used for soybean sauce and curd production. MY2022/23 soybean meal consumption is forecast to increase 4 percent, especially in the second half of MY2022/23 when demand for soybean meal in poultry feed is expected to recover in line with growing poultry production following the recovery in hotel and food service sector which will be driven by the increase in foreign tourists.

MY2021/22 soybean meal consumption is forecast to increase around 3 percent from MY2020/21 in line with the gradual economic recovery. Although the economy is expected to grow by 3-4 percent in 2022, hotel and food service sector is unlikely to fully recover as the estimated increase in foreign tourists to 5-6 million is far below 40 million visitors prior to the pandemic. The slow recovery in hotel and food service sector will affect chicken meat consumption and poultry production. Also, poultry farmers, as well as swine farmers who were affected by ASF outbreak, will be cautious in expanding their poultry and swine production due to Russia's invasion of Ukraine which caused a surge in feed grains accounting for 60-70 percent of production costs of poultry and swine. Demand for soybean meal in poultry feed accounts for 65 percent of total soybean meal demand in feed rations, followed by 30 percent in swine feed.

The Thai Feed Mill Association expected total feed demand to further decline in 2022, mainly due to reduced swine production which was affected by the ASF outbreak (Figure 2.1.2.1). Swine feed demand accounts for around 30 percent of total feed demand and is expected to decline 17 percent in 2022, down further from 19 percent in 2021. The ASF outbreak adversely affected small-scale farmers, who accounted for 93 percent of total swine farms, as they did not implement biosecurity practices due to the additional high production costs from rising feed grain prices in 2021. However, swine production from small-scale swine farm accounts for only 17 percent of total swine production. Meanwhile, swine production from medium and large-scale farm respectively accounts for 12 percent and 71 percent of total swine production. Poultry feed demand, which accounts for around 60 percent of total feed demand, is expected to increase slightly in 2022 in line with the slow recovery in hotel and food service sector and the concern about high feed costs caused by the surge in feed grain prices in 2022. Shrimp and fish feed demand, which accounts for approximately 5 percent of total feed demand, is expected to increase 8 percent and 4 percent, respectively, in 2022.

Figure 2.1.2.1: Feed Demand in Thailand



Feed mills also rely on imported alternative feed ingredients depending on the availability of locally produced corn and duty-free imported corn from neighboring countries. The reduced import demand for imported alternative feed ingredients, especially for feed wheat, DDGS, and barley, is due to surge in prices in 2022 caused by disruption from Russia's invasion of Ukraine, a shortage of supplies of container shipments, and high freight costs. Soybean meal and alternative feed ingredients are substitutable to a certain degree depending on the digestibility, which is different by livestock species. However, soybean remains the essential protein sources for livestock in Thailand (Table 2.1.2.1)

Table 2.1.2.1: Thailand's Protein Meal Use (Soy Meal Equivalent)

Unit: Thousand Metric Tons

	MY2019/20	MY2020/21	MY2021/22 (Estimate)	MY2022/23 (Forecast)
Soybean	4,700	4,800	4,950	5,150
Sunflower Seed	60	63	65	66
Rape Seed	250	255	265	268
Copra	-	-	-	
Cotton Seed	-	-	-	
Palm Kernel	225	230	234	235
Peanut				
Fish	375	385	382	390
Corn Gluten Meal	-	-	-	
DDGS	324	275	220	210
Total	5,934	6,008	6,116	6,319
% Change	4.4	1.2	1.8	3.3

2.1.3 Trade and Policy

Imported soybean meal is mostly used for feed. Post forecast MY2022/23 soybean meal imports to increase to 2.83 million metric tons. This is a 3 percent increase from MY2021/22 in line with growing poultry production.

MY2021/22 soybean meal imports are expected to increase to 2.75 million metric tons, up 2 percent from MY2020/21. This is a slow recovery from the 6 percent reduction in MY2020/21 as growing poultry feed demand is partially offset by shrinking swine production caused by the ASF outbreak. Also, feed mills prefer locally produced soybean meal due to high import costs of imported soybean meal caused by recent increased freight costs. Soybean meal imports in the first five month of MY2021/22 totaled 1.1 million metric tons, up 7 percent from the same period last year, mainly from Brazil which accounted for around 85 percent of total soybean meal imports.

MY2020/21 soybean meal imports totaled 2.69 million metric tons, down 6 percent from MY2019/20 due to increased supply of locally produced soybean meal. Increased domestic production of cooking oil created larger supplies of domestically produced soybean meal.

Soybean meal imports are subject to a 230,559 metric ton TRQ with a 20 percent in-quota tariff and a 119 percent out-of-quota tariff rate, according to Thailand's WTO commitments. However, the government lowered the in-quota tariff rate to 2 percent with unlimited imports since 2009 to help reduce production costs for the livestock industry. On October 6, 2020, the Cabinet continued to allow unlimited in-quota imports of soybean meal for three years (2021 – 2023). The in-quota tariff rate remains unchanged at 2 percent. The Thai government still limits import permits to 11 trade associations.² The Ministry of Commerce's Department of Internal Trade continues to require eligible

² The 11 permitted trade associations include (1) Thai Livestock Association, (2) Thai Broiler Processing Exporters Association, (3) Thai Feed Mill Association, (4) Association of Broiler Raisers for Export, (5) Association of Duck Raisers

soybean meal importers to purchase locally produced soybean meal at prices not below 14.58 baht per kilogram (U.S. \$470/MT) in 2021, the same level as in 2020.

On October 20, 2020, the Cabinet agreed to maintain the importation of soybean meal for food processing under the quota allocation basis with a 10 percent in-quota tariff rate. That is the same rate that was set in March 2018 when the Cabinet first approved to allow the importation of soybean meal for food processing. The out-of-quota tariff rate is 133 percent. This policy intends to provide Thai processors of soybean sauce and curd with sufficient raw material supplies when domestic availability is low. The maximum quota of soybean meal for food processing is set at 230,559 metric tons per annum for three years (2021 – 2023). On January 19, 2021, the Ministry of Commerce’s Department of Foreign Trade announced the import quota allocation of 6,749 metric tons of soybean meal to three food processors in 2021.

The Cabinet lifted a long-standing export ban on soybean meal since April 2016. On December 17, 2020, the Ministry of Commerce’s Department of Foreign Trade allocated an export quota of 309,250 metric tons of soybean meal in 2021 to four soybean oil crushers in the following amounts: (1) 191,725 metric tons for Thai Vegetable Oil Public Company Limited; (2) 101,620 metric tons for Thanakorn Vegetable Oil Products Co., Ltd.; (3) 10,048 metric tons for Sime Darby Oils Morakot Public Company Limited; and (4) 5,857 metric tons for PAS Produce Export and Silo Co., Ltd.

2.2 Fish Meal

2.2.1 Production

The production of fish meal depends on Surimi and canned tuna production waste and bycatch. The production from Surimi and canned tuna production waste accounts for around two-thirds of total fish meal production. The remaining third are from bycatch products, the supply of which is trending downward due to depleted fish supplies in both the Gulf of Thailand and the Andaman Sea. Post forecasts fish meal production in 2023 to increase around 5 percent from a 2 percent increase in 2022 in anticipation of the increased Surimi and canned tuna production waste in line with growing caned fish production.

Fish meal production in 2021 declined around 12 percent from 2020, mainly due to limited supplies of production waste from canned tuna production. Canned tuna production in 2021 declined 14 percent from 2020 in line with reduced exports of canned tuna which fell 15 percent.

for Trade and Export, (6) National Swine Raisers Association, (7) Poultry Promotion Association of Thailand, (8) Feedstuff Users Promotion Association, (9) Agricultural Produce Traders Association, (10) Association of Agricultural Trade and Processing Industries, and (11) Thai Federation of Dairy Cooperatives of Thailand.

Table 2.2.1: Thailand's Fish Meal Production, Supply and Demand

Meal, Fish	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2022		Jan 2023	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Catch For Reduction (1000 MT)	1100	1060	1100	1090	0	1140
Extr. Rate, 999.9999 (PERCENT)	0.3091	0.2981	0.3091	0.2954	0	0.2982
Beginning Stocks (1000 MT)	8	8	8	8	0	10
Production (1000 MT)	340	316	340	322	0	340
MY Imports (1000 MT)	74	74	55	70	0	48
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	422	398	403	400	0	398
MY Exports (1000 MT)	123	123	105	125	0	120
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	291	267	290	265	0	270
Total Dom. Cons. (1000 MT)	291	267	290	265	0	270
Ending Stocks (1000 MT)	8	8	8	10	0	8
Total Distribution (1000 MT)	422	398	403	400	0	398
(1000 MT), (PERCENT)						

2.2.2 Consumption

Post forecasts fish meal demand in 2023 to increase around 2 percent from 2022, mainly due to expected growing poultry production following the recovery in hotel and food service sector, driven by the increase in foreign tourists. Demand for fish meal in poultry feed rations accounts for around half of total fish meal consumption. Also, fish meal demand in shrimp and fish feed rations, which account for around 20 percent of total fish meal consumption, is forecast to continue the upward trend.

In 2022, domestic demand for fishmeal is expected to decline 1 percent from 2021 due to reduced swine production caused by the ASF outbreak. The reduced fish meal demand in swine feed rations, which account for around 30 of total fish meal consumption, is expected to offset growing demand for fish meal in poultry, shrimp, and fish feed rations.

2.2.3 Trade and Policy

Thailand exports low-protein fish meal and imports high-protein fish meal. Post forecasts fish meal exports to decline 4 percent due to growing domestic demand for fish meal following gradual increases in poultry production.

In 2022, fish meal exports are expected to increase 2 percent due to larger exportable supplies of fish meal from growing canned tuna production. Also, domestic demand for fish meal as animal feed will likely continue to decline due to reduced swine production, caused by the ASF outbreak. Fish meal exports in 2021 declined to 122,774 metric tons, down 20 percent from 2020 due mainly to reduced exports to Japan. Fish meal exports to Japan account for 15 percent of total fishmeal exports and those exports fell by 35 percent in 2021. This more than offset a 6 percent increase in fish meal exports to China, which accounted for 72 percent of total fish meal exports. Thailand saw reduced exportable supplies of fish meal as canned tuna processors scaled down their production due to shrinking export market. The canned tuna exports declined 15 percent in 2021, especially to the United States where traders still held large inventories of canned tuna from the previous year's purchase while consumers were panic about the lockdown measures during the COVID-19 outbreak in 2020.

Post forecasts fish meal imports in 2023 to further decline from anticipated 5 percent reduction in 2022 due to an expected increase in local supplies of fish meal driven by a recovery in canned tuna production for exports. In 2021, fish meal imports totaled 73,942 metric tons, up around 40 percent from 2020 due to a sharp reduction in canned tuna production. Imports of fish meal from Burma, which accounted for 41 percent of total fish meal imports, increased 12 percent in 2021. In addition, fish meal imports from Vietnam and Chile, which respectively accounted for 26 percent and 8 percent of total fish meal imports, more than doubled in 2021 as the imports from these countries are duty free under the free trade agreement.

Imports of high-protein fish meal (more than 60 percent protein content) are not subject to import permit requirements or quantity limitations. Meanwhile, imports of low-protein fishmeal (below 60 percent) are subject to import permit requirements. In both cases, the applied import duties are 15 percent. Fish meal imports under the ASEAN Free Trade Area (AFTA), Thai-Australian FTA, Thai-New Zealand FTA, ASEAN-China FTA, and ASEAN-Australia-New Zealand FTA, and Japan-Thailand Economic Partnership Agreement, and Thai-Peru FTA are duty free.

Section 3: Vegetable Oils

3.1 Soybean Oil

3.1.1 Production

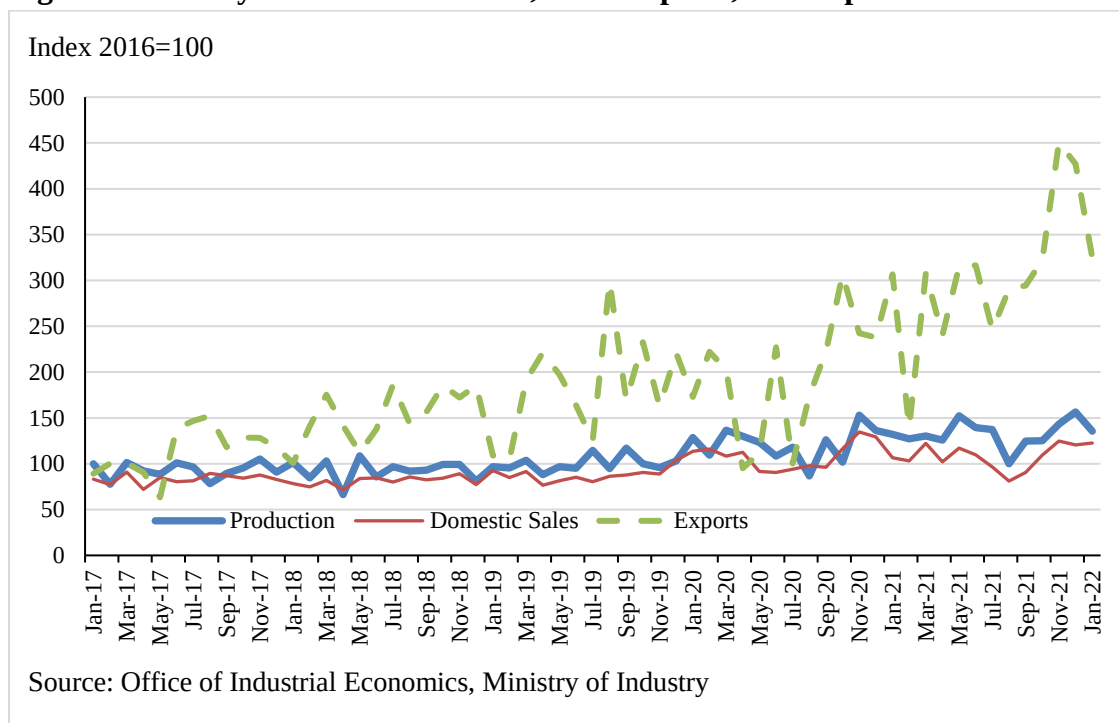
Table 3.1.1.1: Thailand's Soybean Oil Production, Supply and Demand

Oil, Soybean	2020/2021		2021/2022		2022/2023	
Market Year Begins	Sep 2020		Sep 2021		Sep 2022	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2800	2900	2900	3000	0	3150
Extr. Rate, 999.9999 (PERCENT)	0.1786	0.1793	0.1793	0.1783	0	0.1778
Beginning Stocks (1000 MT)	74	74	69	70	0	69
Production (1000 MT)	500	520	520	535	0	560
MY Imports (1000 MT)	0	0	0	1	0	1
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	574	594	589	606	0	630
MY Exports (1000 MT)	134	134	145	140	0	145
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	50	60	52	62	0	65
Food Use Dom. Cons. (1000 MT)	321	330	335	335	0	350
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	371	390	387	397	0	415
Ending Stocks (1000 MT)	69	70	57	69	0	70
Total Distribution (1000 MT)	574	594	589	606	0	630
(1000 MT), (PERCENT)						

Post forecasts MY2021/22 and MY2022/23 soybean oil production to increase 3-5 percent annually in line with expected gradual economic recovery in 2022 and 2023. Also, soybean oil exports demand is likely to remain strong in MY2021/22 and MY2022/23 due to the upward price pressure in palm oil prices driven by the sunflower oil supply and trade disruption in Ukraine.

The Ministry of Industry’s industrial economic survey reported that soybean oil production in the first five months of MY2021/22 increased around 6 percent from the same period last year as exports of soybean cooking oil remained strong, driven by tight supplies of palm oil supplies (Figure 3.1.1.1). MY2021/22 soybean oil production is expected to increase at a slower pace by 4 percent from MY2019/20 as the recovery in hotel and food service sector remain slow due to limited increases in foreign tourists amid anticipated economic growth of 3-4 percent in 2021.

Figure 3.1.1.1 Soybean Oil Production, Consumption, and Exports



MY2020/21 soybean oil production increased 15 percent from MY2019/20 in line with growing domestic consumption of soybean cooking oil and strong exports of soybean oil which further increased 30 percent from MY2019/20. Also, demand for locally produced soybean meal, which is a by-product of soybean oil crushing, was still strong as feed mills preferred locally produced soybean meal. This more than offset the reduced demand for soybean meal in swine feed caused by the ASF outbreak.

3.1.2 Consumption

MY2022/23 soybean oil consumption is forecast to increase 4 percent from MY2021/22. The increase in consumption is in line with a gradual recovery in hotel and food service sector in 2023.

MY2021/22 soybean oil consumption is expected to increase 2 percent from MY2020/21. This is a slower consumption growth pace than a 27 percent consumption growth in MY2020/21 as hotel and food service sector is unlikely to recover from the third wave of COVID-19 outbreak amid expected 3-4 percent economic growth in 2022.

In the first five months of MY2021/22, soybean cooking oil consumption declined 3 percent from the same period last year due to the government's lockdown measures to control the third wave of COVID-19 outbreak. However, demand for soybean cooking oil is expected to grow 5-6 percent in the remainder of MY2021/22 as the government gradually removed the lockdown and quarantine measures and quarantine.

3.1.3 Trade and Policy

Post forecasts soybean oil exports to increase around 4 percent annually in MY2021/22 and MY2022/23 due to the upward price pressure of palm oil which is driven by the disruption of trade and supplies of sunflower oil in Ukraine. In the first five month of MY2021/22, soybean oil exports, which accounted for 20-30 percent of total soybean oil production, increased 33 percent from the same period last year. Most of soybean oil exports were destined to ASEAN countries. Soybean oil exports to Vietnam, which accounted for 41 percent of total soybean oil exports, increased 60 percent from the same period last year, followed by the Philippines (22%), Cambodia (69%), and Indonesia (25%) with a combined export market share of around 40 percent. Exports of soybean oil are expected to continue the double-digit growth in the remainder of MY2021/22.

MY2020/21 soybean oil exports totaled 133,853 metric tons, up 30 percent from MY2019/20. Soybean oil exports to Vietnam, which is Thailand's largest export market, increased to 40,854 metric tons, up 31 percent from MY2019/20, followed by Cambodia (45%) and Indonesia (70%).

Soybean oil imports are marginal as the imports of both crude and refined oil are subject to a tariff-rate quota under Thailand's commitment with WTO. In addition, non-transparent import permit administration discourages imports, totaling less than 1,000 metric tons annually. The import quota for soybean is limited to 2,281 metric tons with a 20 percent in-quota tariff rate and a 146 percent out-of-quota tariff rate.

3.2 Palm Oil

3.2.1 Production

Table 3.2.1.1: Thailand's Palm Oil Production, Supply and Demand

Oil, Palm	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2022		Jan 2023	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	975	975	1000	990	0	1000
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	348	348	317	329	0	400
Production (1000 MT)	2970	2963	3120	3150	0	3260
MY Imports (1000 MT)	2	1	2	1	0	1
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	3320	3312	3439	3480	0	3661
MY Exports (1000 MT)	608	608	550	620	0	650
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	1200	1500	1250	1480	0	1550
Food Use Dom. Cons. (1000 MT)	1150	865	1170	970	0	1020
Feed Waste Dom. Cons. (1000 MT)	45	10	45	10	0	10
Total Dom. Cons. (1000 MT)	2395	2375	2465	2460	0	2580
Ending Stocks (1000 MT)	317	329	424	400	0	431
Total Distribution (1000 MT)	3320	3312	3439	3480	0	3661
CY Imports (1000 MT)	2	1	0	1	0	1
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	325	325	325	330	0	340
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	3.0462	3.039	3.12	3.1818	0	3.26

(1000 HA), (1000 TREES), (1000 MT), (MT/HA)

Post forecasts MY2022/23 palm oil production to increase to 3.3 million metric tons, up 3 percent from MY2021/22, due to continued increases in harvesting areas since 2018 with palm oil plantations replacing rubber plantations. The Thai Meteorological Department (TMD) expected above normal precipitation in 2022, driven by the La Nina phenomenon. The TMD reported that cumulative precipitation between January and February 2022 doubled normal precipitation and expected 5 percent above normal precipitation in major oil palm planting areas until June 2022.

In MY2021/22, palm oil production is expected to increase to 3.2 million metric tons, up 6 percent from MY2020/21, due to increased harvesting areas and favorable weather conditions. Average precipitation in 2021 was 15 percent higher than the previous year's levels and 11 percent above normal (Figure 3.2.1.1). Average yield of fresh fruit bunches (FFB) and oil extraction rate is expected to increase slightly following increased uses of fertilizer due to attractive returns. Average farm-gate prices of FFB between January and February 2022 increased to record 9.28 baht per kilogram (\$282/MT), up 51 percent from the same period last year (Figure 3.2.1.2).

Figure 3.2.1.1: Precipitation Anomaly during Oil Palm Planting Season (July – December)

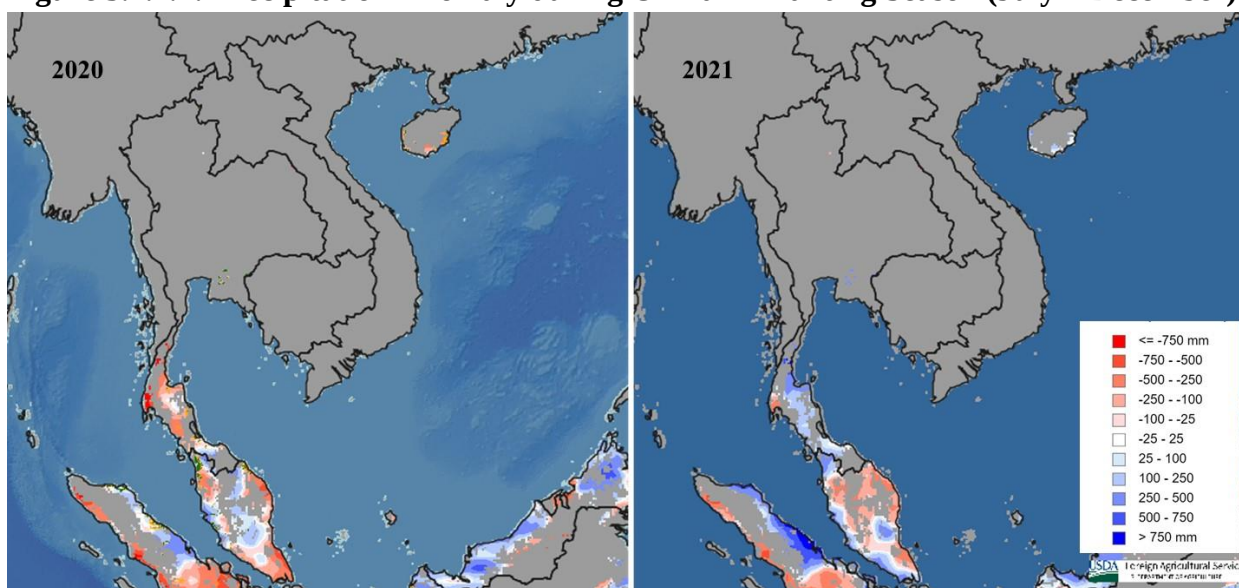
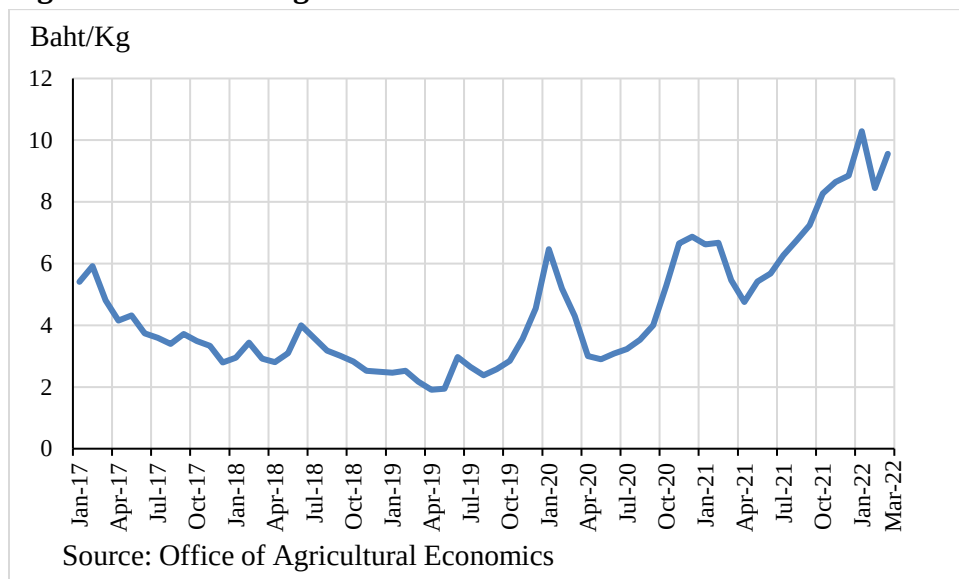
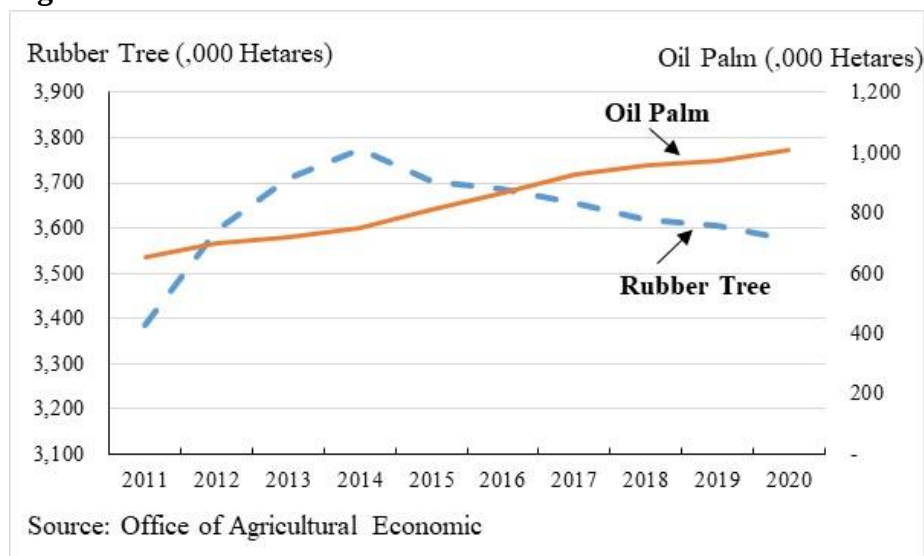


Figure 3.2.1.2: Farm-gate Prices of Oil Palm



MY2020/21 palm oil production recovered to around 3.2 million metric tons, up 12 percent from MY2019/20, whereas MY2019/20 palm oil production decreased 12 percent due to drought. The increased palm oil production in MY2020/21 is mainly attributed to acreage expansion at the expense of rubber tree plantations (Figure 3.2.1.3). Additionally, the TMD reported that precipitation in 2020 was 14 percent higher than the previous year's levels but remained 4 percent below normal.

Figure 3.2.1.3: Planted Area of Oil Palm and Rubber Tree



3.2.2 Consumption

Palm oil is used for food processing, which mainly includes cooking oil, margarine, and non-dairy creamer, as well as for biodiesel production, consumer products like soap and cosmetics, and medical

products. Post forecasts palm oil consumption to continue to increase around 5 percent in MY2022/23 following an economic recovery from the prolonged outbreak of COVID-19.

Palm oil consumption in MY2021/22 is expected to increase 4 percent from MY2020/21 due to growing demand for palm oil in food processing and the consumer product industry, mainly for cooking oil production, which accounts for around 30 percent of total palm oil demand. The expected growing demand for palm oil in food and industrial uses, which is driven by strong exports demand for cooking oil and canned fish products, will likely offset a reduction of palm oil used for biodiesel production. Demand for biodiesel is expected to decline further in 2022 as the government reduced the biodiesel mandatory blend rate from 10 percent to 7 percent since the beginning of 2022. In addition, the current blend rates during February 5 – March 31, 2022 were set in range with a minimum of B5 for diesel fuel in order to help curb retail prices of diesel.

In MY2020/21, palm oil consumption declined 6 percent due mainly to reduce biodiesel production, which accounted for around half of palm oil consumption. Demand for palm oil in biodiesel production declined 16 percent in 2021 due to the government policy to lower the B10³ mandatory blend rates to curb retail prices of diesel fuel since October 2021, caused by the surge of palm oil prices and crude oil prices following global economic recovery in 2021. In addition, the transportation sector was still affected by the reduced number of foreign tourists visiting Thailand. The reduced demand for palm oil in diesel fuel offset the growing palm oil demand in food processing and the consumer product industry, which increased around 6 percent from 2020, mainly for cooking oil production and driven by strong exports demand.

3.2.3 Trade

Thailand's imports of palm oil are marginal as the government protects domestic palm oil producers by allowing only the state-own Public Warehouse Organization to bring in imports. Nearly all the imports are refined, bleached, and deodorized crude palm oil (RBD).

Post forecasts palm oil exports to further increase 2-5 percent annually in 2022 and 2023, due to strong demand from India and driven by supply disruptions in sunflower oil from Ukraine. In 2021, palm oil exports more than doubled and went mainly to India totaling 528,619 metric tons which accounted for 87 percent of total palm oil exports.

3.2.4 Stocks

Post forecasts MY2021/22 and MY2022/23 palm oil stocks to respectively increase to around 400,000 and 431,000 metric tons in anticipation of the recovery in oil palm production. This is well above the safety stocks of 250,000 – 300,000 metric tons.

³ B10 refers to a 10 percent blend by volume of biodiesel in diesel fuel.

3.2.5 Policy

On February 22, 2022, the Cabinet approved a budget of 7,660 million baht (U.S. \$234 million) for the price guarantee program to cover MY2021/22 palm oil production between September 2021 and August 2022. The guaranteed prices remain unchanged from the previous year's program at 4 baht per kilogram (U.S. \$127/MT) with a maximum acreage of 25 rai (4 hectares) per household. The guaranteed price is calculated from the production cost of 2,800 baht per metric ton (U.S. \$90/MT), and transportation cost of 250 baht per metric ton (U.S. \$8/MT) with a profit margin of 932 baht per metric ton (U.S. \$30/MT). Farmers eligible for the program will receive compensation under this program when the market prices are lower than the guaranteed price. In MY2020/21, the price guarantee program did not pay any compensation to farmers as market prices were at 6.5 baht per kilogram (\$203/MT), which were above the guaranteed prices.

The upward price pressure on palm oil prices and the surge in crude oil prices in October 2021 to three-year record \$81.4/barrel prompted the government to reduce the B10 mandatory blend rate of biodiesel in diesel fuel to curb retail prices of diesel at 30 baht/liter (\$3.48/gallon). The new mandated blend rates will have multiple blend rates of B7 and B20 (specifically for large trucks) between 2022 and 2023. Then, B7 will be the only mandatory blend rate for diesel fuel from 2024 onward. However, the government set the range of the biodiesel blend rate at 5-7 percent for B7, 5-10 percent for regular high-speed diesel, and 5-20 percent for B20 during February 5 -March 31, 2022. The minimum blend rate of biodiesel could be reduced to 3 percent, depending on global palm oil prices and local supplies of palm oil available for cooking oil purposes, which is the main priority of the government.

Appendix Tables

Table 1: Thailand’s Palm Kernel Oil Production, Supply and Demand

Oil, Palm Kernel	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2021		Jan 2022	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	792	830	858	875	0	890
Extr. Rate, 999.9999 (PERCENT)	0.4558	0.4578	0.4557	0.4629	0	0.4607
Beginning Stocks (1000 MT)	68	68	42	42	0	48
Production (1000 MT)	361	380	391	405	0	410
MY Imports (1000 MT)	5	2	30	1	0	1
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	434	450	463	448	0	459
MY Exports (1000 MT)	158	171	80	150	0	140
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	153	170	210	180	0	190
Food Use Dom. Cons. (1000 MT)	81	67	90	70	0	75
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	234	237	300	250	0	265
Ending Stocks (1000 MT)	42	42	83	48	0	54
Total Distribution (1000 MT)	434	450	463	448	0	459
(1000 MT), (PERCENT)						

Table 2: Thailand's Palm Kernel Meal Production, Supply and Demand

Meal, Palm Kernel	2020/2021		2021/2022		2022/2023	
Market Year Begins	Jan 2021		Jan 2021		Jan 2022	
Thailand	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	792	830	858	875	0	890
Extr. Rate, 999.9999 (PERCENT)	0.4924	0.488	0.4883	0.4914	0	0.4888
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	390	405	419	430	0	435
MY Imports (1000 MT)	235	262	235	250	0	250
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	625	667	654	680	0	685
MY Exports (1000 MT)	5	6	5	7	0	9
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	620	661	649	673	0	676
Total Dom. Cons. (1000 MT)	620	661	649	673	0	676
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	625	667	654	680	0	685
(1000 MT), (PERCENT)						

End of report.

Attachments:

No Attachments